

**United States Department of Agriculture
Sole Source Justification under
Simplified Procedures for Certain Commercial Items (FAR 13.5)**

1. Identification of the agency and the contracting activity.

United States Department of Agriculture, Departmental Administration, Office of Contracting and Procurement, Procurement Operations Division, 301 S. Howes Street, Suite 321, Fort Collins, CO 80521.

2. The nature and/or description of the action being approved.

The USDA proposes to award a sole source firm fixed-price contract with the original equipment manufacturer (OEM), Cummins Inc, using the simplified procedures for certain commercial items under Federal Acquisition Regulation (FAR) Part 13.5. The requirement is for nine backup generators located at Ward Parkway Data Center facility for continued maintenance and fueling by Cummins Inc.

3. A description of the supplies or services required to meet the agency's needs (including the estimated value).

This requirement is for the United States Department of Agriculture (USDA), Office of the Chief Information Officer (OCIO), Digital Infrastructure Services Center (DISC). The requirement is to perform regular and emergency maintenance, fueling, and fuel polishing for nine backup generators located at 8930 Ward Parkway.

	Period of Performance:
Base Period	03/04/25 – 03/03/26
Option Period 1	03/04/26 – 03/03/27
Option Period 2	03/04/27 – 03/03/28
Option Period 3	03/04/27 – 03/03/28
Option Period 4	03/04/27 – 03/03/28

4. The statutory authority permitting other than full and open competition.

41 U.S.C § 1901 - Simplified Acquisition Procedures up to \$7.5 million, as authorized by FAR 13.500(a) and implemented by FAR 13.501(a).

5. A statement demonstrating the unique qualifications of the proposed contractor or the nature of the action requiring the use of the authority.

The Cummins generator sets support mission critical power circuits for our primary data center. These diesel engines are equipped with motor alarm and control systems which direct the engine

and alternator's performance. In addition to the unit's control the units are connected electronically to Cummins's proprietary peer-to-peer systems management and control network. Only Cummins licensed/authorized service providers can maintain and repair such units. Allowing service organizations which are not specifically trained or authorized to work on these complex standby power systems will jeopardize our ability to provide needed power to IT systems during utility power failure events. Without the renewal of these maintenance services, DISC and our customers will no longer have access to updated versions of Cummins equipment upgrades and fuel system services causing the DISC generators and fuel systems maintenance to be vulnerable to unacceptable wear.

Cummins generator sets are equipped with Cummins "Power Command" intelligence system(s). This proprietary system allows for the direct connect of one unit to another Cummins unit with no other control vendor necessary to ensure the units can "talk" to each other. This allows the Cummins generators to share and act upon digital information as captured by one and be acted upon by all. For example, when we have a power out situation all nine (9) of our Cummins generators will start and come online. Then, after the power command control system captures the actual power needed, the other units will either shut down or remain on but in an idled state. This feature saves run time on our units as well as fuel as these units burn 30-50 gallons per hour.

Cummins generators (QSK50 Series & QST30 Series) allow for a complete "info sharing" with our overall Data Center Information Management (DCIM) system. This feature allows for a complete "plug and play" integration solution and thereby saves us the expense of installing a third-party bridge solution.

A substantial duplication of cost to the Government would be required to implement a system other than the Cummins brand and the cost of the effort would not be expected to be recovered through competition with non-Cummins equipment or maintenance services.

It is in the interest of the government to contract with the OEM (Cummins) to perform critical maintenance and monitoring of backup generators supporting the Federal Data Center at 8930 Ward Parkway. These generators support mission critical services provided by the United States Department of Agriculture Digital Infrastructure Services Center to customers within the USDA, Department of Justice, Department of the Interior and the Department of Veterans Affairs among other agencies. The data center forms the core of certain essential services provided by these departments to millions of Americans, including the SNAP program (food stamps), the National Finance Center which provides payroll to over 600,000 federal workers, and critical communications within the US Forest Service. Due the critical mission, the data center is required to maintain a FEDRAMP certification with a Tier III concurrently maintainable infrastructure. Well maintained backup generators are necessary for continued certification. Power interruptions typically occur once a month on average due to frequent severe weather in the area. The lack of backup generators could cause both temporary and permanent damage to data center equipment. The resulting outages will not end once electrical power is restored, potentially affecting millions of customers. The data center will lose FEDRAMP certification without timely and effective maintenance and fueling.

Market research indicated that there are alternate solutions that could provide similar functionalities of the Cummins generator sets but failed to demonstrate all required performance features necessary to meet or exceed the current maintenance and technical services provided by Cummins. Currently, it is not fiscally responsible nor within the best interest of the Government to move forward with a decision to select another vendor, overhaul the existing system and move forward with a different product offering.

Additionally, market research was conducted in January 2025 to ascertain whether any services, other than those from Cummins, could meet the Government's requirements. It was determined that any third-party maintenance vendor will need to subcontract with the OEM, in any case, to perform some of the most critical functions potentially delaying response times and raise the risk of miscommunication and conflicts over prioritization. The market research entailed reviewing services such as follows:

Foley Equipment

Pros: None

Cons: Unable to replicate OEM maintenance reliability and responsiveness.

Central Power Systems

Pros: None

Cons: Unable to replicate OEM maintenance reliability and responsiveness.

3E Cohler:

Pros: None

Cons: Unable to replicate OEM maintenance reliability and responsiveness.

Company	Routine Maintenance	Emergency Maintenance	Fuel Polishing
Foley Equipment	N	N	Y
Central Power Systems	N	N	Y
Cohler	N	N	Y

USDA DISC EHS must have a product that is fully compliant with all requirements. Our market research shows that Cummins generators include critical proprietary components (especially in the control system) that must be serviced by the OEM.

6. A description of efforts made to ensure offers are solicited from as many potential sources as is practicable.

It has been confirmed through market research that Cummins Inc is the only vendor capable of performing the services required for this acquisition.

7. A determination by the Contracting Officer that the anticipated cost to the Government will be fair and reasonable.

In accordance with FAR 13.106-3 the costs are determined to be fair and reasonable through market research and historical pricing for this service.

8. A description of the market research conducted and the results or a statement of the reason Market Research was not conducted.

The current contract for this service used streamlined acquisition procedures by posting an unrestricted combined synopsis/solicitation to FBO (Sam.gov). I contacted Cummins Inc. and verified that they do not authorize third-party vendors to perform services on their equipment. Therefore, a small business set aside for this requirement is not possible. Since Cummins Inc. does not authorize other vendors to perform the required maintenance, repair, and fuel services on their equipment, I researched whether or not they had a GSA contract in place that I may be able to use. Cummins Power Generation Inc. has a GSA contract; however, it is only for products.

9. Any other facts supporting the use of other than full and open competition.

This is a requirement to maintain existing Cummins equipment. Since only Cummins authorized/licensed service providers can maintain the equipment there is no opportunity to open this requirement to full and open competition.

10. A listing of the sources, if any, that expressed a written interest in the acquisition.

N/A

11. A statement of actions, if any, the agency may take to remove or overcome any barriers to competition if subsequent acquisitions are anticipated.

Cummins Inc. is the sole manufacturer able to perform these maintenance and fuel systems support services. Competition appears to be limited through the life of the current generators and fuel system services, but when equipment reaches end of life, DISC will conduct market research and review the costs (Certification & Accreditation, Configuration, Implementation, and Training) for changing brands and will maximize competition as much as possible. USDA DISC EHS has operated the data center at Ward Parkway for over 50 years. The expected costs is within reason based on the historical arrangements with local vendors. Cummins has a record of excellent service, reasonable prices, and effective cost control at the Ward Parkway facility.

Certifications & Approvals

Supporting data which form the basis for and included in this justification are certified accurate and complete.

JAMES GRANGER

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GRANGER

Date: 2025.02.06 15:03:47 -06'00'

James Granger

Chief, Data Center Facilities Group

The information contained in this Justification for Other Than Full and Open Competition is certified accurate and complete to the best of my knowledge and belief.

CHRISTINE LABARR

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LABARR

Date: 2025.02.07 13:28:36 -07'00'

Christine LaBarr

Contracting Officer

Additional Reviews & Approvals

Advocate for competition for the procuring activity (if over \$750,000). I have reviewed this justification and find it to be accurate and complete to the best of my knowledge and belief.

Therefore, unless additional approvals are required as prescribed below, as advocate for competition for the procuring activity/MASCO, I hereby approve this justification.

RICHARD JIRON

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JIRON

Date: 2025.02.19 15:48:53 -07'00'

Rick Jiron

Chief, Procurement Operations Division

Procuring Activity Advocate for Competition